Four Points Aero Services

Opportunity Overview

June 2022

Business / Opportunity Summary

Commentary

- Headquartered on Dallas Love Field ("DAL"), Four Points Aero Services ("FPA") offers MRO services to corporate customers
- FPA has 27 total employees with an average tenure of 22 years
- 14 technicians are authorized to repair Embraer Phenom, Hawker, King Air, Beechjet, Cessna Citation, Dassault Falcon, and Learjet airframes
- Operates out of a 22,500 sq. ft. hangar with an additional 10,000 sq. ft. that includes office space, paint room, interiors workshop, avionics bench, and sheet metal workshop
  - Vacant property immediately adjacent to current facility is large enough to support another 32,500 sq. ft. facility
- ***Although FPA's recent historical financial performance is underwhelming, SP and management are excited about its potential addition to the Elliott platform and believe the business can be more than double its current size with Elliott's support***
  - ***Strategic location would expand Elliott's geographic reach while given it access to additional Southern and Southwestern customers – Elliott has served more Texas-based customers over the last five years as compared to any other state***
- *Estimated $2-3 million purchase price to transact*

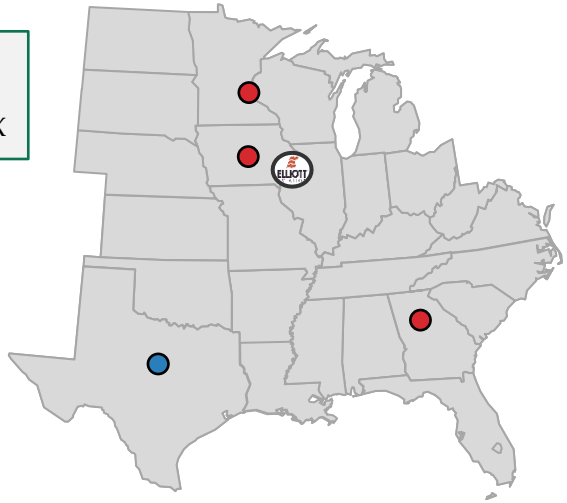
Financial Summary

$ in thousands

	YTD March			Full-year		
	2021	2022	'22 vs. '21	2021	2022E	'22 vs. '21
Revenue	$1,165	$1,714	47.1%	$5,283	$7,805	47.7%
Gross Profit	$406	$567	39.8%	$2,122	$3,437	62.0%
Gross Margin %	34.8%	33.1%		40.2%	44.0%	
Adj. EBITDA	($140)	($136)	N/A	($488)	$701	N/A
Adj. EBITDA Margin %	-12.0%	-7.9%		-9.2%	9.0%	

Pro Forma Facility Footprint

Four Points facility provides fifth MRO strategically located in TX

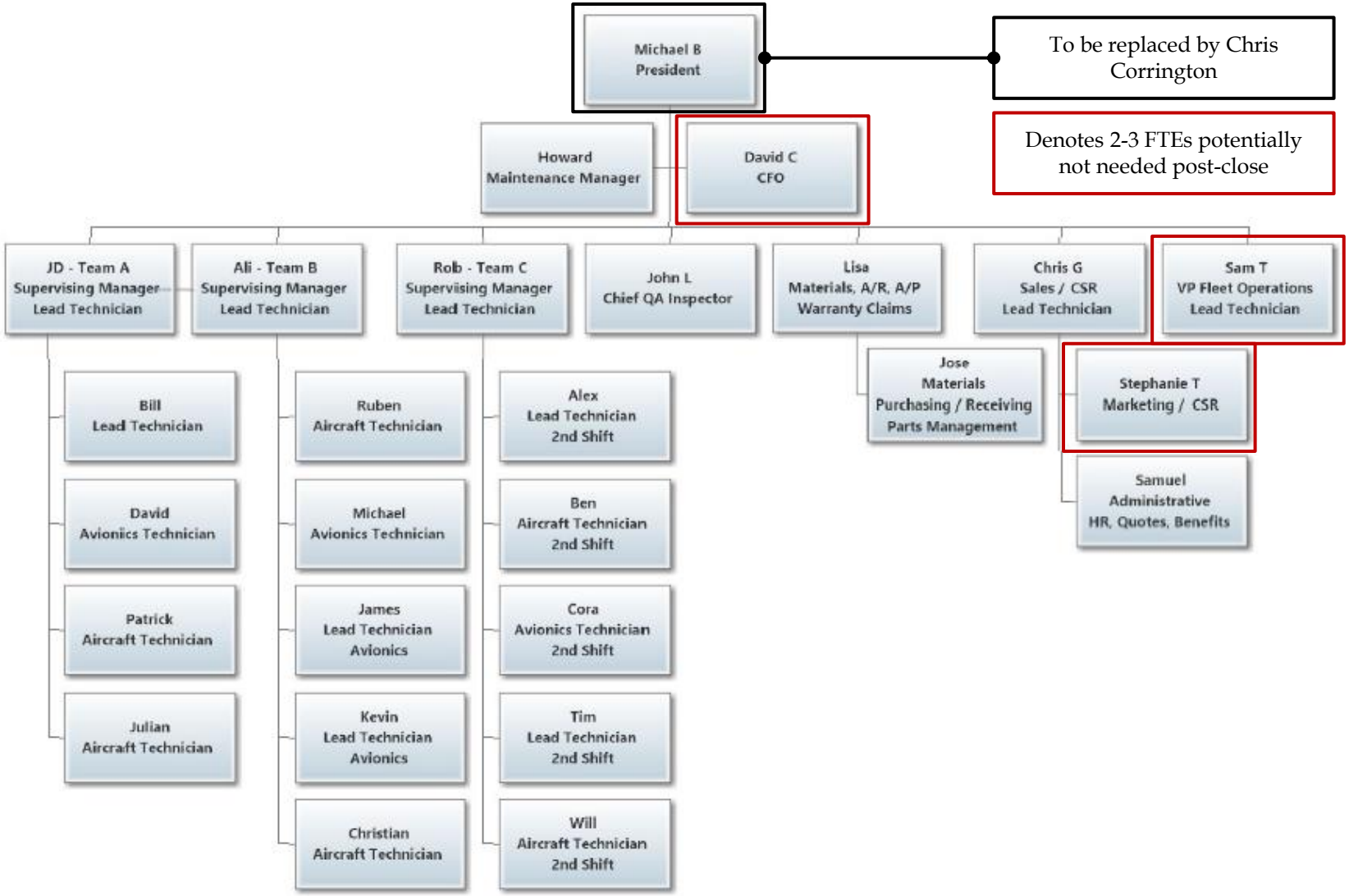


Headquarters

Satellite Facility

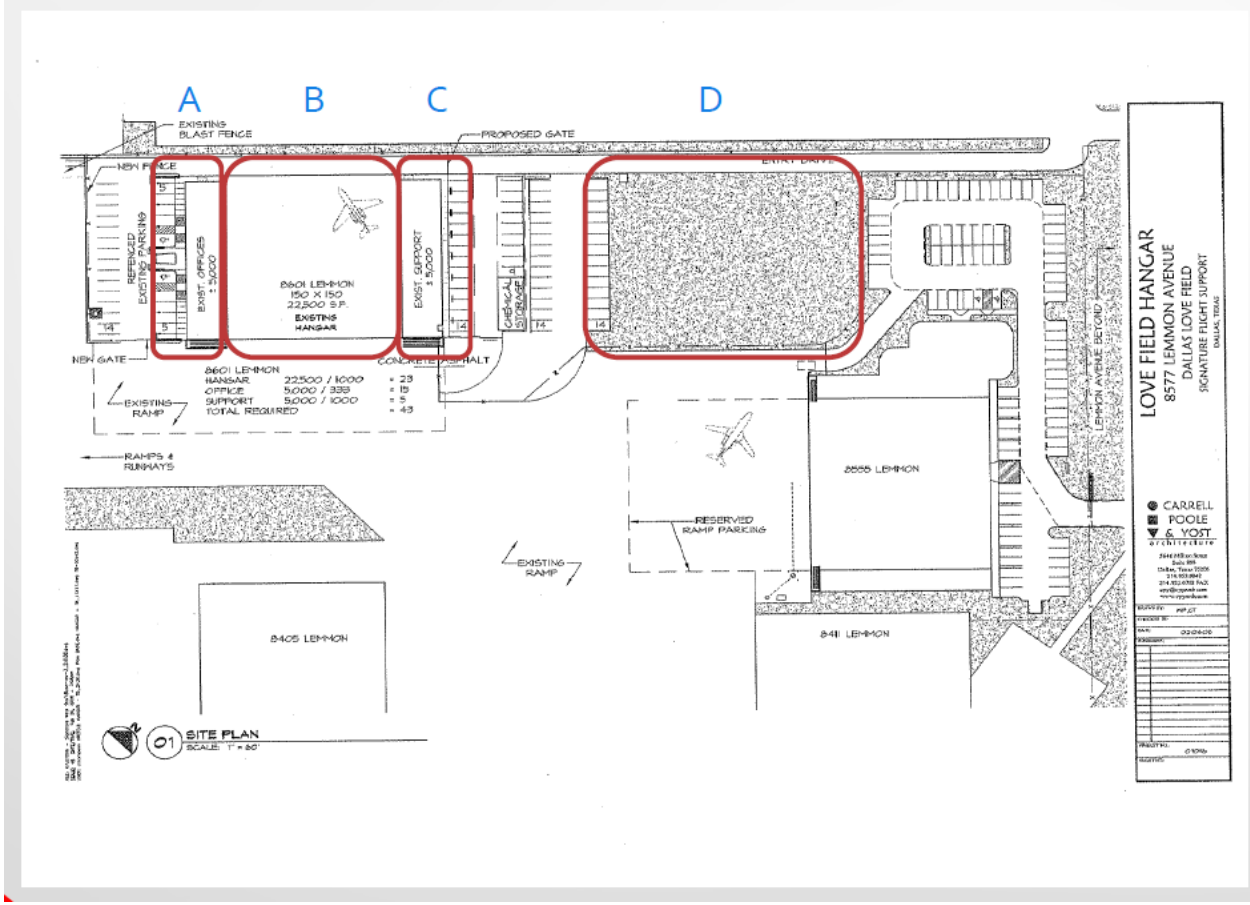
Add-on Facility

Organization Overview



Note: Mike Brosler (President) is hesitant to share detailed employee information prior to LOI

Facility and Lease Summary



Facility Summary

- **<u>32,500 total square feet with additional growth opportunity</u>**
- **<u>A</u>** – 5,000 square feet
  - Customer entrance
  - Pilot lounge
  - Conference areas
  - Admin offices
- **<u>B</u>** – 22,500 square feet
  - Hangar workspace
  - 150′ x 150′ x 30′
- **<u>C</u>** – 5,000 square feet
  - Paint room
  - Interiors workshop
  - Avionics bench
  - Parts & materials
  - Sheet metal workshop
  - Breakroom area
- **<u>D</u>** – 32,500 square feet
  - Growth space for potential additional maintenance

Lease Summary

- Sublease from Signature Aviation with term through 2023
- Ten-year renewal option subject to the term of the master lease
- *Additional potential 30k square foot hangar on the airfield up for sub-lease in 2023*

Facility Capacity Analysis

	FPA Footprint Analysis
Hangar Square Footage Dedicated to MRO	22,500
Annual Labor Hours per Square Foot, Single Shift	2.00
Single Shift Analysis	
Available Labor Hours, Annually	45,000
Available Labor Hours, Monthly	3,750
Number of Techs, at Capacity	25
Gross Profit / Labor Hour	$115.0
Gross Profit Generation Capacity, Annually	$5,175
Implied Revenue Capacity (45% GM%)	$11,500
Second and Weekend Shift Analysis	
Hour Multiplier	1.75x
Available Labor Hours, Annually	78,750
Available Labor Hours, Monthly	6,563
Number of Techs, at Capacity	44
Gross Profit / Labor Hour	$115.0
Gross Profit Generation Capacity, Annually	$9,056
Implied Revenue Capacity (45% GM%)	$20,125

For reference, DSM and FCM were 1.79 and 2.15, respectively, in 2019

$9.1mm of gross profit generation running two shifts in current facility footprint

Potentially another 30K sq. ft. of hangar space FPA could sub-lease not included in analysis, representing further upside

Pre- / Post-Close Monthly P&L

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($ in thousands)	Pre-Acquisition						Post-Acquisition						
	Actual			Forecast									3 + 9
	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22	Jul-22	Aug-22	Sep-22	Oct-22	Nov-22	Dec-22	2022E
Revenue	$461	$720	$532	$626	$626	$626	$598	$699	$694	$713	$721	$789	$7,805
Gross Profit	$198	$119	$250	$294	$294	$294	$280	$330	$328	$337	$341	$374	$3,437
Gross Margin	*42.9%*	*16.6%*	*47.0%*	*46.9%*	*46.9%*	*46.9%*	*46.8%*	*47.2%*	*47.2%*	*47.2%*	*47.3%*	*47.4%*	*44.0%*
Operating Expense													
Payroll	$148	$140	$129	$135	$135	$135	$110	$110	$110	$110	$110	$110	$1,478
General Operations	62	57	68	67	64	59	67	74	84	69	67	72	811
Rent	41	41	41	41	41	41	42	42	42	42	42	42	497
Other	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	$250	$237	$238	$243	$240	$235	$219	$226	$236	$221	$218	$223	$2,785
Reported EBITDA	($52)	($118)	$12	$51	$54	$59	$61	$104	$92	$116	$123	$151	$652
EBITDA Adjustments	$8	$8	$8	$9	$9	$9	$0	$0	$0	$0	$0	$0	$49
Adjusted EBITDA	($45)	($110)	$20	$60	$62	$67	$61	$104	$92	$116	$123	$151	$701
Adjusted EBITDA Margin	*-9.7%*	*-15.3%*	*3.7%*	*9.5%*	*10.0%*	*10.8%*	*10.3%*	*14.9%*	*13.3%*	*16.3%*	*17.0%*	*19.1%*	*9.0%*
LTM Adjusted EBITDA	($45)	($155)	($136)	($76)	($13)	$54	$115	$219	$311	$427	$550	$701	
Memo													
Average MRO Technicians				17	17	17	17	18	19	21	22	23	
Labor Hours				2,550	2,550	2,550	2,431	2,870	2,850	2,932	2,967	3,263	
GP per Labor Hour ($ in actuals)				$113.06	$113.06	$113.06	$113.06	$113.06	$113.06	$113.06	$113.06	$113.06	
Indirect Employees				10	10	10	8	8	8	8	8	8	
MRO Technicians / Indirect Employees				2	2	2	2	2	2	3	3	3	

Indirect FTE	2022 Base Salary	Notes
General Manager (Chris Corrington)	$250	Inclusion based on conversation with Tom and Dennis
Maintenance Manager	200	Inclusion based on conversation with Tom and Dennis
Chief Inspector	175	Inclusion based on conversation with Tom and Dennis
Materials Manager	100	Inclusion based on conversation with Tom and Dennis
Quotes Manager	100	Inclusion based on conversation with Tom and Dennis
Bookkeeper / Admin / HR	90	Inclusion based on conversation with Tom and Dennis
Other Indirect FTEs	90	"Plug" so MRO techs / indirect employees does not surpass 3 as business scales

Proposed Transition Timeline

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- During first 30 days:
  - Evaluation and re-organization of current employees
  - Injection of hand-selected high value employees
  - Process / procedure review
  - Tooling assessment
  - Repair station manual review
- During first 90 days:
  - Revenue leakage clean up
  - Invoice process roll out
  - Process / procedure revisions and improvements
  - Tooling supplementation purchases (if required)
  - Inventory assessment
  - Competitor assessment
- During first six months:
  - Transition into growth mode
  - Recruit top talent
  - Develop customer base focusing on core offering
  - Align with sustained expectations of financial return

Key Areas to Improve

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- Streamline indirect employees to reduce low value-add costs and positions

- Build up second shift to enable capture of robust 135 fleet operations through Dallas and surrounding airports
  - Enhances ability to reduce downtime of scheduled inspections, driving customer satisfaction and repeat business / word of mouth referrals

- Improve road trip support capability via capital investment
  - Significant demand exists in regional area (Austin, Oklahoma City, Houston, and Midland markets)

- Enhance work order to invoice process by implementing three-step review process to include Lead, maintenance manager, and general manager
  - Eliminate revenue leakage, translating directly to increased EBITDA performance with minimal additional resource required

- Utilize operational / tribal knowledge to reduce customer downtimes, improve communication and relationships, and build a culture of excellence
  - Culture and relationships lead to increased work order count and technician efficiency, driving increased revenue and EBITDA performance

Long-term Projected P&L

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($ in thousands)					YoY Growth / % of Revenue			
	3 + 9				3 + 9			
	2022E	2023P	2024P	2025P	2022E	2023P	2024P	2025P
Revenue	$7,805	$12,847	$15,963	$17,035		64.6%	24.3%	6.7%
Gross Profit	$3,437	$5,955	$7,475	$7,984	44.0%	46.4%	46.8%	46.9%
Operating Expense								
Payroll	$1,478	$1,653	$2,029	$2,130	18.9%	12.9%	12.7%	12.5%
General Operations	811	1,337	1,638	1,737	10.4%	10.4%	10.3%	10.2%
Rent	497	521	548	575	6.4%	4.1%	3.4%	3.4%
Other	0	0	0	0	0.0%	0.0%	0.0%	0.0%
Total	$2,785	$3,512	$4,215	$4,442	35.7%	27.3%	26.4%	26.1%
Reported EBITDA	$652	$2,443	$3,261	$3,542	8.4%	19.0%	20.4%	20.8%
EBITDA Adjustments	$49	$0	$0	$0	0.6%	0.0%	0.0%	0.0%
Adjusted EBITDA	$701	$2,443	$3,261	$3,542	9.0%	19.0%	20.4%	20.8%
Memo								
Average MRO Technicians [1]	23	31	37	39				
Labor Hours		51,438	64,824	69,264				
GP per Labor Hour ($ in actuals)		$113.06	$113.06	$113.06				
Indirect Employees	8	12	13	13				
MRO Technicians / Indirect Employees	3	3	3	3				

1. Represents end-of-year MRO technician headcount for 2022E